Indian Institute of Technology Bhubaneswar

School of Humanities, Social Sciences, and Management

Subject Name: International Business	Subject Code: HS2L001

Date: 26-02-2020 (Wednesday)

Duration: 02 Hours (10.00 AM – 12.00 PM) **Full Marks: 60**

Answer a new question on a fresh page (strictly) and all parts of a question together.

If there is any missing value, assumed value should be used to solve the problem.

Part: A

1. "Globalisation is a complex phenomenon that carries both positive and negative consequences, winners and losers depending on region, industry, profession, and skill level". Elucidate this statement with suitable case studies. [10 marks]

2. International business brings the world market closer leading to globalisation. However, globalisation is multifaceted and multidimensional. Explain the different facets and dimensions of globalisation. [10 marks]

Part: B

1. Consider the Heckscher-Ohlin trade theory. You are given the following data on the factor endowments of two countries, India and Bangladesh:

[3 marks×5=15 marks]

	Country India	Country Bangladesh
Labor Force (millions of workers)	90	40
Capital Stock (thousands of machines)	30	20

a) Which country is relatively capital abundant? Explain.

b) Which country is relatively labour abundant and why?

c) Suppose that steel is capital intensive relative to T-shirts. Which country will have comparative advantage in the production of steel? Explain.

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d) Which factor benefits the most in country Bangladesh under international trade? Why?

e) Under what circumstance, might factor price equalization not occur when countries India and Bangladesh trade?

Part: C

1. Write short notes on the following terms: [5 marks×5 = 25 marks]

   i. Indian financial system and its components
   ii. Importance of globalisation and international business
   iii. Characteristics of a global firm
   iv. Merits and demerits of Indian Rupee (INR) value depreciation
   v. Foreign Direct Investment (FDI) vs. Foreign Portfolio Investment (FPI)

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